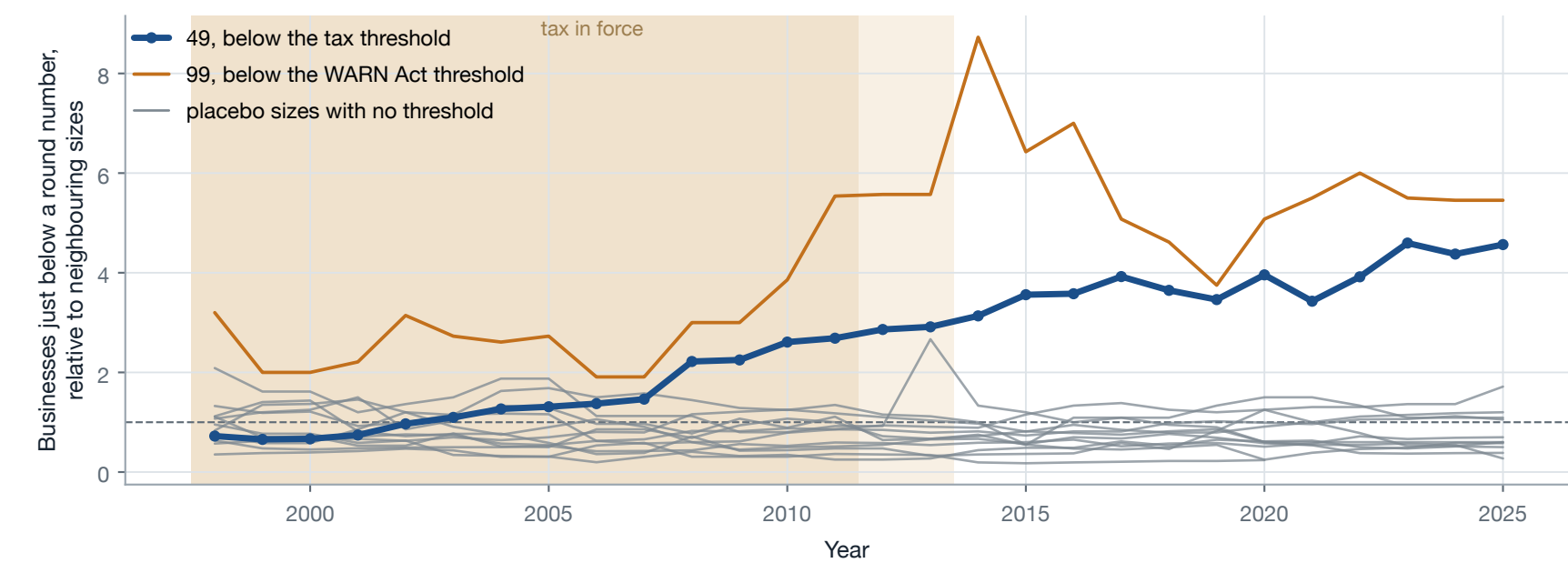


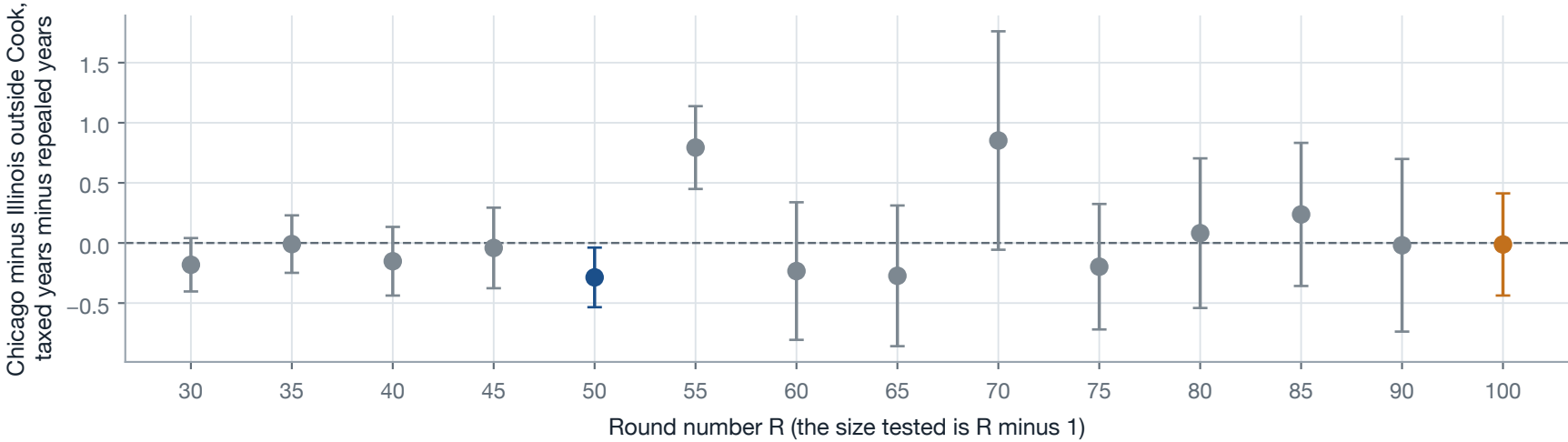
Excess mass just below 50 is not specific to the tax threshold

2 of 12 placebo sizes, which carry no tax, move at least as much as 49 does

Chicago: the same rise appears just below round numbers that carry no threshold



The tax test at 50, and the same test where there is no tax to find



Each series is the count of single-location businesses with vendor-verified headcounts at R minus 1, divided by the average count at R-4, R-3, R-2, R+2, R+3 and R+4. At R=50 this reproduces the specification in 16_bunching_final.py exactly, which the script verifies against its published output before anything here is computed.

Placebo sizes carry no Chicago tax and no federal employment threshold. R=100 is shown separately because the WARN Act applies at 100 employees. The lower panel is the difference-in-differences used as the tax test: 2003-2011 against 2014-2022, in log points with 95% confidence intervals.

Source: Data Axle (Infogroup) historical business files, 1998-2025.